

17<sup>th</sup> April, 2014

The Chief Executive Officer  
Nairobi Stock Exchange  
The Exchange  
55 Westlands Road  
**NAIROBI**



**Attn: Mr. Peter Mwangi**

Dear Sir,

**RE: EQUITY BANK GROUP UN-AUDITED FINANCIAL STATEMENTS FOR THE PERIOD ENDED 31<sup>ST</sup> MARCH, 2014**

We wish to publish our unaudited financial statements as at 31<sup>st</sup> March, 2014. The financial statements have been duly approved by the Central Bank of Kenya and the bank's Board of Directors.

The following documents are enclosed for your information:-

- a) Statement Of Financial Position as at 31<sup>st</sup> March, 2014;
- b) Statement Of Comprehensive Income as at 31<sup>st</sup> March, 2014;
- c) Other Disclosures as at 31<sup>st</sup> March, 2014.

We take this opportunity to express our appreciation for your support and cooperation.

Yours faithfully  
**Equity Bank Limited**



**Dr. James Mwangi, CBS**  
**Group Managing Director & CEO**

Encls.

# EQUITY BANK GROUP

## UN-AUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES AS AT 31ST MARCH 2014



| STATEMENT OF FINANCIAL POSITION                                                     | BANK                  |                     |                       | GROUP CONSOLIDATED    |                     |                       |
|-------------------------------------------------------------------------------------|-----------------------|---------------------|-----------------------|-----------------------|---------------------|-----------------------|
|                                                                                     | 31st Mar 2013         | 31st Dec 2013       | 31st Mar 2014         | 31st Mar 2013         | 31st Dec 2013       | 31st Mar 2014         |
|                                                                                     | Shs.'000' (Unaudited) | Shs.'000' (Audited) | Shs.'000' (Unaudited) | Shs.'000' (Unaudited) | Shs.'000' (Audited) | Shs.'000' (Unaudited) |
| <b>A. ASSETS</b>                                                                    |                       |                     |                       |                       |                     |                       |
| 1. Cash (both Local & foreign)                                                      | 5,719,419             | 4,779,647           | 6,893,233             | 8,680,882             | 7,965,319           | 9,839,274             |
| 2. Balances due from central Bank of Kenya                                          | 13,147,904            | 6,228,764           | 9,978,012             | 13,147,904            | 6,228,764           | 9,978,012             |
| 3. Kenya Government and other securities held for dealing purposes                  | -                     | -                   | -                     | -                     | -                   | -                     |
| 4. Financial Assets at fair value through profit and loss                           | -                     | -                   | -                     | -                     | -                   | -                     |
| <b>5. Investment Securities: (a+b)</b>                                              | <b>31,001,961</b>     | <b>32,949,454</b>   | <b>32,959,377</b>     | <b>40,323,497</b>     | <b>44,571,810</b>   | <b>44,415,258</b>     |
| <b>a) Held to Maturity: (i+ii)</b>                                                  | <b>21,725,261</b>     | <b>22,593,951</b>   | <b>22,426,689</b>     | <b>31,044,798</b>     | <b>33,990,144</b>   | <b>33,450,354</b>     |
| i. Kenya Government securities                                                      | 20,857,361            | 21,726,051          | 21,558,789            | 29,810,944            | 21,726,051          | 21,558,789            |
| ii. Other securities                                                                | 867,900               | 867,900             | 867,900               | 1,235,854             | 12,264,095          | 12,091,565            |
| <b>b) Available for sale: (i+ii)</b>                                                | <b>9,276,699</b>      | <b>10,355,503</b>   | <b>10,532,688</b>     | <b>9,276,699</b>      | <b>10,581,664</b>   | <b>10,764,904</b>     |
| i. Kenya Government securities                                                      | 9,276,699             | 10,355,503          | 10,532,688            | 9,276,699             | 10,372,893          | 10,550,261            |
| ii. Other securities                                                                | -                     | -                   | -                     | -                     | 208,771             | 214,643               |
| 6. Deposits and balances due from local banking institutions                        | 7,336,976             | 7,019,840           | 4,928,809             | 7,421,473             | 7,059,696           | 4,968,896             |
| 7. Deposits and balances due from banking institutions abroad                       | 12,188,209            | 3,902,296           | 6,701,458             | 18,814,447            | 13,273,755          | 16,397,675            |
| 8. Tax recoverable                                                                  | -                     | 469,728             | -                     | 7,198                 | 549,912             | 66,779                |
| 9. Loans and advances to customers (net)                                            | 124,985,393           | 152,028,916         | 159,188,825           | 139,563,666           | 171,363,429         | 179,311,808           |
| 10. Balances due from banking institutions in the group                             | 1,541,663             | 1,062,693           | 1,564,267             | 196,542               | 122,000             | 451,925               |
| 11. Investments in associates                                                       | 1,113,049             | 1,113,049           | 1,113,049             | 1,503,427             | 1,574,434           | 1,623,941             |
| 12. Investments in subsidiary companies                                             | 8,637,689             | 10,283,692          | 10,283,689            | -                     | -                   | -                     |
| 13. Investments in joint ventures                                                   | -                     | -                   | -                     | -                     | -                   | -                     |
| 14. Investment properties                                                           | 8,494                 | 8,494               | 8,494                 | 8,494                 | 8,494               | 8,494                 |
| 15. Property and equipment                                                          | 6,408,007             | 6,941,581           | 6,654,599             | 8,825,268             | 9,795,938           | 9,439,466             |
| 16. Prepaid lease rentals                                                           | 4,126                 | 4,092               | 4,080                 | 242,533               | 179,870             | 185,517               |
| 17. Intangible assets                                                               | 1,201,920             | 1,542,421           | 1,747,660             | 2,366,829             | 2,955,178           | 3,182,971             |
| 18. Deferred tax asset                                                              | 744,341               | 701,348             | 701,348               | 766,919               | 939,063             | 763,013               |
| 19. Retirement benefit asset                                                        | -                     | -                   | -                     | -                     | -                   | -                     |
| 20. Other assets                                                                    | 9,393,770             | 9,158,339           | 12,613,566            | 10,365,205            | 11,141,156          | 14,630,050            |
| <b>21. TOTAL ASSETS</b>                                                             | <b>223,432,921</b>    | <b>238,194,354</b>  | <b>255,340,466</b>    | <b>252,234,264</b>    | <b>277,728,818</b>  | <b>295,263,079</b>    |
| <b>B. LIABILITIES</b>                                                               |                       |                     |                       |                       |                     |                       |
| 22. Balances due to Central Bank of Kenya                                           | 147,399,366           | 158,527,016         | 170,056,418           | 173,832,149           | 194,420,593         | 205,605,033           |
| 23. Customer deposits                                                               | 1,492,515             | 218,084             | 222,420               | 1,492,515             | 218,084             | 222,420               |
| 24. Deposits and balances due to Local banking institutions                         | -                     | -                   | -                     | -                     | -                   | -                     |
| 25. Deposits and balances due to Foreign banking institutions                       | -                     | -                   | -                     | -                     | -                   | -                     |
| 26. Other money market deposits                                                     | -                     | 5,127               | 692,943               | 1,573,217             | 318,042             | 750,944               |
| 27. Borrowed funds                                                                  | 25,037,384            | 25,607,185          | 29,599,124            | 24,779,591            | 26,731,049          | 31,591,650            |
| 28. Balances due to group companies                                                 | -                     | -                   | -                     | -                     | -                   | -                     |
| 29. Tax payable                                                                     | 3,423,144             | -                   | 957,186               | 3,491,192             | 64,210              | 1,069,814             |
| 30. Dividends payable                                                               | 1,818,337             | 20,777              | 2,209,381             | 1,818,337             | 20,777              | 2,209,381             |
| 31. Deferred tax liability                                                          | -                     | -                   | -                     | -                     | 2,148               | -                     |
| 32. Retirement benefit liability                                                    | -                     | -                   | -                     | -                     | -                   | -                     |
| 33. Other liabilities                                                               | 3,773,708             | 3,129,263           | 2,793,373             | 4,379,238             | 4,198,144           | 3,736,057             |
| <b>34. TOTAL LIABILITIES</b>                                                        | <b>182,944,454</b>    | <b>187,507,432</b>  | <b>206,530,845</b>    | <b>211,404,026</b>    | <b>226,173,047</b>  | <b>245,185,319</b>    |
| <b>C. SHAREHOLDERS' FUNDS</b>                                                       |                       |                     |                       |                       |                     |                       |
| 35. Paid up/Assigned capital                                                        | 1,851,388             | 1,851,388           | 1,851,388             | 1,851,388             | 1,851,388           | 1,851,388             |
| 36. Share premium/(discount)                                                        | 12,161,021            | 12,161,021          | 12,161,021            | 12,161,021            | 12,161,021          | 12,161,021            |
| 37. Revaluation reserve                                                             | 1,088,470             | (730,859)           | (386,679)             | (2,076,570)           | (1,361,730)         | (1,368,636)           |
| 38. Retained earnings/Accumulated losses                                            | 27,110,205            | 31,271,829          | 34,401,314            | 28,294,535            | 32,590,061          | 36,700,270            |
| 39. Statutory Loan Loss reserve                                                     | 454,323               | 578,577             | 578,577               | 582,193               | 734,945             | 733,717               |
| 40. Other Reserves                                                                  | -                     | -                   | -                     | -                     | -                   | -                     |
| 41. Proposed dividends                                                              | -                     | 5,554,166           | -                     | 5,554,166             | -                   | -                     |
| 42. Capital grants                                                                  | -                     | -                   | -                     | 17,669                | 25,920              | -                     |
| <b>43. TOTAL SHAREHOLDERS' FUNDS</b>                                                | <b>40,488,467</b>     | <b>50,686,922</b>   | <b>48,809,621</b>     | <b>40,830,236</b>     | <b>51,555,771</b>   | <b>50,077,760</b>     |
| <b>44. TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS</b>                                | <b>223,432,921</b>    | <b>238,194,354</b>  | <b>255,340,466</b>    | <b>252,234,264</b>    | <b>277,728,818</b>  | <b>295,263,079</b>    |
| <b>STATEMENT OF COMPREHENSIVE INCOME</b>                                            |                       |                     |                       |                       |                     |                       |
| <b>1. INTEREST INCOME</b>                                                           |                       |                     |                       |                       |                     |                       |
| 1.1 Loans and advances                                                              | 6,444,520             | 24,811,111          | 6,529,542             | 7,083,685             | 27,740,003          | 7,313,075             |
| 1.2 Government securities                                                           | 763,876               | 3,115,914           | 771,865               | 852,785               | 3,566,623           | 908,165               |
| 1.3 Deposits and placements with banking institutions                               | 72,237                | 347,590             | 61,518                | 21,279                | 399,233             | 80,453                |
| 1.4 Other Interest Income                                                           | 729                   | 35,628              | 2,311                 | 29,049                | 183,765             | 115,620               |
| <b>1.5 Total Interest Income</b>                                                    | <b>7,281,362</b>      | <b>28,310,243</b>   | <b>7,365,236</b>      | <b>7,966,798</b>      | <b>31,889,624</b>   | <b>8,417,313</b>      |
| <b>2. INTEREST EXPENSES</b>                                                         |                       |                     |                       |                       |                     |                       |
| 2.1 Customer deposits                                                               | 628,043               | 3,212,365           | 808,836               | 726,031               | 3,970,850           | 1,053,185             |
| 2.2 Deposits and placements from banking institutions                               | 766                   | 32,741              | 4,268                 | 68,842                | 105,110             | 6,677                 |
| 2.3 Other Interest expense                                                          | 396,425               | 1,375,373           | 331,386               | 319,742               | 1,323,073           | 364,592               |
| <b>2.4 Total Interest Expenses</b>                                                  | <b>1,025,234</b>      | <b>4,620,479</b>    | <b>1,144,490</b>      | <b>1,114,615</b>      | <b>5,399,033</b>    | <b>1,404,454</b>      |
| <b>3. NET INTEREST INCOME</b>                                                       | <b>6,256,128</b>      | <b>23,689,764</b>   | <b>6,220,746</b>      | <b>6,852,183</b>      | <b>26,490,591</b>   | <b>7,012,859</b>      |
| <b>4. NON-INTEREST INCOME</b>                                                       |                       |                     |                       |                       |                     |                       |
| 4.1 Fees and commissions income on loans & advances                                 | 849,215               | 4,068,517           | 1,151,257             | 951,025               | 4,476,134           | 1,219,687             |
| 4.2 Other Fees and commissions income                                               | 1,314,030             | 5,648,491           | 1,543,798             | 1,601,890             | 6,713,988           | 2,010,490             |
| 4.3 Foreign exchange trading income                                                 | 193,908               | 897,368             | 196,171               | 438,423               | 1,864,074           | 611,092               |
| 4.4 Dividend Income                                                                 | -                     | 958,302             | -                     | 6,927                 | 7,018               | 2,053                 |
| 4.5 Other income                                                                    | 73,150                | 475,068             | 87,561                | 337,418               | 2,307,483           | 288,825               |
| <b>4.6 Total Non-Interest Income</b>                                                | <b>2,430,303</b>      | <b>12,047,746</b>   | <b>2,978,787</b>      | <b>3,335,683</b>      | <b>15,370,697</b>   | <b>4,132,147</b>      |
| <b>5. TOTAL OPERATING INCOME</b>                                                    | <b>8,686,431</b>      | <b>35,737,510</b>   | <b>9,199,533</b>      | <b>10,207,866</b>     | <b>41,861,288</b>   | <b>11,145,006</b>     |
| <b>6. OPERATING EXPENSES</b>                                                        |                       |                     |                       |                       |                     |                       |
| 6.1 Loan Loss Provision                                                             | 642,627               | 1,805,613           | 270,399               | 681,674               | 2,401,942           | 316,499               |
| 6.2 Staff costs                                                                     | 1,641,714             | 7,386,110           | 1,977,153             | 1,975,170             | 9,024,259           | 2,414,746             |
| 6.3 Directors' emoluments                                                           | 5,304                 | 18,679              | 2,986                 | 8,172                 | 27,751              | 4,652                 |
| 6.4 Rental charges                                                                  | 238,030               | 839,084             | 252,618               | 414,293               | 1,576,272           | 443,966               |
| 6.5 Depreciation on property and equipment                                          | 445,606               | 1,783,761           | 493,940               | 540,277               | 2,203,209           | 615,391               |
| 6.6 Amortisation charges                                                            | 77,895                | 316,088             | 93,245                | 79,567                | 323,060             | 95,330                |
| 6.7 Other operating expenses                                                        | 1,632,493             | 5,325,303           | 1,352,786             | 2,037,421             | 7,154,373           | 1,851,878             |
| <b>6.8 Total Operating Expenses</b>                                                 | <b>4,683,869</b>      | <b>17,504,438</b>   | <b>4,443,127</b>      | <b>5,730,774</b>      | <b>22,710,866</b>   | <b>5,742,462</b>      |
| <b>Profit/(loss) before tax and exceptional items</b>                               | <b>4,002,562</b>      | <b>18,232,872</b>   | <b>4,756,406</b>      | <b>4,469,092</b>      | <b>19,150,422</b>   | <b>5,402,544</b>      |
| Exceptional items-share of profit of associate                                      | -                     | -                   | -                     | 46,780                | (145,986)           | 49,507                |
| <b>Profit/(loss) after exceptional items</b>                                        | <b>4,002,562</b>      | <b>18,232,872</b>   | <b>4,756,406</b>      | <b>4,516,072</b>      | <b>19,004,436</b>   | <b>5,452,051</b>      |
| 10. Current tax                                                                     | (1,200,768)           | (5,548,044)         | (1,426,922)           | (1,302,050)           | (5,881,764)         | (1,568,941)           |
| 11. Deferred tax                                                                    | -                     | (42,992)            | -                     | -                     | 155,126             | (4,454)               |
| <b>12. Profit / (loss) after tax and exceptional items</b>                          | <b>2,801,794</b>      | <b>12,641,836</b>   | <b>3,329,484</b>      | <b>3,214,022</b>      | <b>13,277,796</b>   | <b>3,878,656</b>      |
| <b>13. Other Comprehensive Income</b>                                               |                       |                     |                       |                       |                     |                       |
| 13.1 Gains/(Losses) from translating the financial statements of foreign operations | -                     | -                   | -                     | (347,741)             | (13,810)            | (354,285)             |
| 13.2 Fair value changes in available for sale financial assets                      | (356,616)             | 1,795               | 347,379               | (356,616)             | 1,795               | 347,379               |
| 13.3 Revaluation surplus on Property, plant and equipment                           | -                     | -                   | -                     | -                     | -                   | -                     |
| 13.4 Share of other comprehensive income of associates                              | -                     | -                   | -                     | -                     | -                   | -                     |
| 13.5 Income tax relating to components of other comprehensive income                | -                     | -                   | -                     | -                     | -                   | -                     |
| <b>14. Other Comprehensive Income for the year net of tax</b>                       | <b>(356,616)</b>      | <b>1,795</b>        | <b>347,379</b>        | <b>(704,357)</b>      | <b>(12,015)</b>     | <b>(6,906)</b>        |
| <b>15. Total comprehensive income for the year</b>                                  | <b>2,445,178</b>      | <b>12,643,631</b>   | <b>3,676,863</b>      | <b>2,509,665</b>      | <b>13,265,781</b>   | <b>3,871,750</b>      |
| <b>EARNINGS PER SHARE (Shs)</b>                                                     | <b>0.76</b>           | <b>3.41</b>         | <b>0.90</b>           | <b>0.87</b>           | <b>3.59</b>         | <b>1.05</b>           |

### 1) NON PERFORMING LOANS AND ADVANCES

a) Gross non performing loans and advances

b) Less Interest in suspense

c) Total Non-Performing loans and advances (a-b)

d) less Loan loss provision

e) Net non-performing loans(c-d)

f) Discounted value of securities

g) Net NPLs Exposure (e-f)

### 2) INSIDER LOANS AND ADVANCES

a) Directors, shareholders and associates

b) Employees

c) Total Insider Loans and Advances and other Facilities

### 3) OFF BALANCE SHEET ITEMS

a) Letter of Credit, guarantees, acceptances

b) Forwards, Swaps and Options

c) Other contingent Liabilities

d) Total contingent Liabilities

### 4) CAPITAL STRENGTH

a) Core Capital

b) Minimum statutory capital

c) Excess / (deficiency) capital

d) Supplementary capital

e) Total Capital (a+d)

f) Total Risk Weighted Assets

### Ratios

g) Core Capital/ Total Deposit Liabilities

h) Minimum statutory ratio

i) Excess / (deficiency) (g-h)

j) Core Capital/ Total Risk Weighted Assets

k) Minimum statutory Ratio

l) Excess / (deficiency) (j-k)

m) Total Capital/ Total Risk Weighted assets

n) Minimum statutory Ratio

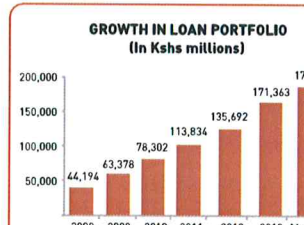
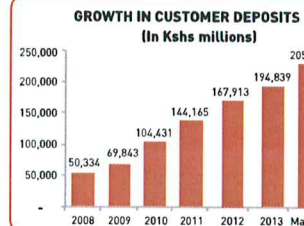
o) Excess / (deficiency) (m-n)

### 5) LIQUIDITY

a) Liquidity Ratio

b) Minimum statutory Ratio

c) Excess / (deficiency) (a-b)



|                                                                                           |                           |
|-------------------------------------------------------------------------------------------|---------------------------|
| <b>EQUITY BANK LIMITED</b><br><b>STATEMENT OF CASHFLOWS</b><br><b>AS AT 31ST MAR 2014</b> |                           |
| <b>In Thousands of Kenya Shillings</b>                                                    | <b>31-Mar-14<br/>KShs</b> |
| <b>Cashflow from operating activities</b>                                                 |                           |
| Net profit before taxation                                                                | 4,756,406                 |
| Adjustments for:-                                                                         |                           |
| Depreciation of plant & equipment                                                         | 493,940                   |
| Amortisation of investment properties                                                     |                           |
| Amortisation of intangible assets                                                         | 93,245                    |
| Revaluation of investment property                                                        | -                         |
| revaluation of investment securities                                                      |                           |
| Profit on disposal of fixed assets                                                        | (13)                      |
| Provision for Non-performing loans                                                        | 270,399                   |
| Interest paid on term borrowings                                                          | 331,386                   |
| <b>Operating profit before working capital changes</b>                                    | <b>5,945,363</b>          |
| Loans and advances                                                                        | (7,430,307)               |
| Other assets                                                                              | (3,956,797)               |
| Customer deposits                                                                         | 11,533,738                |
| Other liabilities                                                                         | 1,852,726                 |
| <b>Cash generated from operations</b>                                                     | <b>7,944,722</b>          |
| Income taxes paid                                                                         | -                         |
| <b>Net cashflow from operating activities</b>                                             | <b>7,944,722</b>          |
| <b>Cashflow from Investing activites</b>                                                  |                           |
| Purchase of property and equipment                                                        | (206,933)                 |
| Purchase of intangible assets                                                             | (298,484)                 |
| Proceeds from sale of fixed assets                                                        |                           |
| Investment in subsidiary                                                                  |                           |
| Investment in associate                                                                   | -                         |
| Purchase of investment securities                                                         |                           |
| Sale of securities                                                                        | 337,456                   |
| Restricted Balances with central Bank                                                     | -                         |
| <b>Net cashflow from investing activities</b>                                             | <b>(167,961)</b>          |
| <b>Cashflow from Financing activites</b>                                                  |                           |
| Dividend paid                                                                             | (5,554,166)               |
| Proceeds from issue of new shares                                                         | -                         |
| Proceeds from longterm borrowings                                                         | 4,674,629                 |
| Repayment from long term borrowings                                                       | 5,127                     |
| Interest paid on term borrowings                                                          | (331,386)                 |
| <b>Net cashflow from Financing activities</b>                                             | <b>(1,205,796)</b>        |
| <b>Net increase/(decrease) in cash and cash equivalents</b>                               | <b>6,570,965</b>          |
| <b>Cash and cash equivalents at the beginning of the year</b>                             | <b>21,930,548</b>         |
| <b>Cash and cash equivalents at the end of the Period</b>                                 | <b>28,501,512</b>         |

| EQUITY BANK LIMITED<br>STATEMENT OF CHANGES IN EQUITY<br>AS AT 31ST MARCH 2014 |                           |                           |                               |                              |                                        |                                |                |
|--------------------------------------------------------------------------------|---------------------------|---------------------------|-------------------------------|------------------------------|----------------------------------------|--------------------------------|----------------|
| In Thousands of Kenya Shillings                                                | Share<br>capital<br>KShs. | Share<br>premium<br>KShs. | Retained<br>earnings<br>KShs. | Statutory<br>Loan<br>reserve | Available for<br>sale reserves<br>KShs | Proposed<br>Dividends<br>KShs. | Total<br>KShs. |
| At 1st January 2014                                                            | 1,851,388                 | 12,161,021                | 31,271,829                    | 578,577                      | (730,059)                              | 5,554,166                      | 50,686,922     |
| Capitalisation from share premium                                              |                           |                           |                               |                              |                                        |                                |                |
| Capitalisation from revenue reserves                                           |                           |                           |                               |                              |                                        |                                |                |
| Share capital Issues                                                           |                           |                           |                               |                              |                                        |                                |                |
| Profit for the year                                                            |                           |                           | 3,329,485                     |                              |                                        |                                | 3,329,484.53   |
| Revaluation of securities                                                      |                           |                           |                               |                              | 347,379.20                             |                                | 347,379.20     |
| Revaluation reserves                                                           |                           |                           |                               |                              |                                        |                                |                |
| Statutory loan reserve                                                         |                           |                           |                               |                              |                                        |                                |                |
| Dividends:                                                                     |                           |                           |                               |                              |                                        |                                |                |
| Final for 2013 paid                                                            |                           |                           |                               |                              |                                        | (5,554,166)                    | (5,554,166)    |
| Proposed for 2014                                                              |                           |                           |                               |                              |                                        |                                |                |
| Grants Received                                                                |                           |                           |                               |                              |                                        |                                |                |
| AS AT 31ST MARCH 2014                                                          | 1,851,388                 | 12,161,021                | 34,601,314                    | 578,577                      | (382,679)                              | -                              | 48,809,620     |